



**WHAT IF THE** government could transfer subsidies directly to beneficiaries, and no, we aren't talking about direct benefit transfer (DBT). Say food subsidy was credited directly to the beneficiary's mobile wallet and could only be used to buy pre-defined rations. This could soon be a reality with a central bank digital currency, or CBDC.

India has set a deadline of 2023 to launch its digital currency. A CBDC will be legal tender like paper currency with all the characteristics of the existing fiat currency. "Digital currency will lead to a more efficient and cheaper currency management system," Finance Minister Nirmala Sitharaman said in her Budget speech for 2022-23.

A CBDC has other benefits. Now, account holders deposit their money in commercial banks. A customer's deposit carries the liability of the bank to repay it on demand. The Reserve Bank of India (RBI) is under no obligation to compensate or reimburse any loss of value. But CBDC is supposed to be a central bank liability.

Why are central bankers so interested in cryptos? It's because they sense likely collateral damage in terms of losing control over monetary policy thanks to the interest in such currencies among the young. "Cryptos are raising concerns on two fronts—monetary stability and financial stability. The RBI is more concerned about the monetary stability part," says Subhash Chandra Garg, former finance secretary. "Cryptos might enable money laundering and getting around capital controls—essentially a digital hawala channel. During periods of financial stress, this might amplify market volatility," says Saugata Bhattacharya, Senior VP & Chief Economist, Axis Bank.

Globally, players are ready with the technology to use crypto as a form of payment to buy goods and services. US-based crypto exchange Coinbase allows merchants

to accept cryptos. Online payment solutions provider PayPal has an option for customers to pay with cryptos at checkout. Global card network player Mastercard also supports the instant settlement of cryptos. "Unlike other asset classes like equity, debt or gold, cryptos are very easily transferable digitally," says Arpit Agrawal, Co-founder & Chief Engineering Officer, Cion Digital, a fintech solutions provider. Soon, there will be payment mechanisms where a person holding cryptos as investment can directly pay a merchant, he adds. "The merchant will have the option to immediately sell the cryptos or keep it as savings or investment." Then there are stablecoins, which are fast emerging as the ideal way for merchants to accept crypto payments as they are pegged to a fiat currency with no fluctuation in value. Many apps allow for the conversion of crypto to stablecoins.

What has put cryptos on central banks' radars are its growing numbers. In just five years, the total market cap of cryptos has touched a high of \$3 trillion. For context, India has a GDP of around \$2.7 trillion, while the BSE's market cap is about \$3.5 trillion. Cryptos, which have no boundaries, have the potential to make a significant impact on an emerging economy like India. "Private cryptocurrencies which have currency-like characteristics will jeopardise the RBI's ability to deal with issues of financial stability," RBI Governor Shaktikanta Das said recently, while reminding the public that these currencies have no underlying asset.

That brings us to another important point. The current currency circulation in the market is backed by physical money, while CBDC will have no such linkages. Simply put, every bit of electronic money that people use for day-to-day purposes today is backed by physical cash. Krishnamurthy Subramanian, former chief economic advisor, says that it is unlikely that CBDC will be a very large part of the broad money (bank money or deposits) in the economy. He explains that the CBDC will be part of narrow money (existing physical currency). He adds that CBDC won't offer any interest rate. "It should be similar to the existing physical currency where you don't earn interest," says Subramanian.

Currently, cryptocurrencies are traded online without any central authority or regulated exchange monitoring it; the investors, too, are anonymous. But now, any transaction involving crypto or virtual asset will be taxed at 30 per cent. "But knowing how the world of blockchain and crypto works, they are going to bypass that," says a player. For instance, if you have a non-custodial wallet (akin to cash), with complete control over the blockchain keys, you can send money from your wallet A to another non-custodial wallet B in your name or somebody else's name, and nobody would be able to track it, says an expert. "The government is also aware of it and will do whatever it can to prevent it," says the expert.